

What the tape did that the desks didn't — and where Monday's money actually is

Ignoring both desks. Three days of MNQ L1 tape and L2 book, 196 big moves, six new gates built and backtested, skeptic-verified. The honest answer to "how do we make money from Monday."

MNQ · L1+L2
tape

196 moves · 6 gates backtested · 7 sections

skeptic-verified · nothing armed

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§1 The tape ran 196 times this week — and it told us big MNQ moves are exhaustion reversals off a stop-run, not chases

Forget what the sims did — you watch that all day. This is the tape itself: three days of MNQ, 3.6 million aggressor ticks and 35 million order-book rows, asked one question — what does the tape do in the seconds before a big move, and can we

build a gate to be there for it? The tape printed **196 moves of 30 points or more inside fifteen minutes**, and the fat ones share a shape.

The headline events of the week were not clean trends — they were **V-shaped stop-runs**. On the 17th at 13:31 price flushed 273 points down, then immediately ripped 313 points back up. Same shape on the 16th (223 down, then 235 up). Both fired off the US cash open. That is the signature, and the pre-move tape confirms the mechanism: **in the last 30 to 60 seconds before a big move, the aggressor tape is leaning the wrong way 68-71% of the time**. The crowd hits sells into the low, the sells exhaust against resting bids, and price snaps up. Big MNQ moves are not continuation of the flow you can see — they are the reversal after that flow exhausts.

The single most useful thing the tape said all week: the obvious signal is a trap. When the aggression is loudest in one direction, the next big move is usually the other way. That one fact killed three of the six gates we tried before they started.

BIGGEST MOVES THIS WEEK	DIR	SIZE	MINS
17 Jul 13:47	UP	313 pt	14
17 Jul 13:32	DOWN	273 pt	12
16 Jul 13:55	UP	236 pt	15
16 Jul 13:33	DOWN	224 pt	15

§2 Does the order book tell you which way? On MNQ, no — the resting book is worthless to backwards

The first instinct with an L2 feed is that the book shows you where price wants to go: more bids than offers means it's heading up. On MNQ this week, that is flat wrong, and it's worth being blunt about because it kills two obvious gates.

We tested the static book lean directly — the five-level imbalance as a directional trigger. It came back **breakeven at best and backwards at worst**. The reason is mechanical: a big resting bid is advertised liquidity, and on a liquid contract advertised liquidity gets **lifted**, not respected — the offers stacked above a fat bid are exactly what aggressors reach up and take. Same for the "empty book means a flush is coming" idea (book depletion): when the bid vanishes it usually just **refills and ticks the other way** — the emptying side carries zero signed edge. Both are dead.

The book's *static state* is a losing tell on MNQ. What carries information is the book's *dynamic* – aggression exhausting against a wall that won't move (a reversal), and violent sweeps that eat through levels and keep going (continuation). Everything real we found lives in the dynamic; nothing lives in the snapshot.

§3 Six gates built, six backtested — three dead on arrival, one an illusion, two with a real signal

Here is the whole hunt on one page, every gate built as a one-line armable rule and backtested on the real tape with tick-priced exits. Read the verdict column first; the honest score is two survivors, and neither is a free lunch.

GATE	WHAT IT REALLY IS	BACKTEST
Ride-the-flush	go WITH a violent sweep, not against it	+\$2,200 00S
Exhaustion-reversal	fade heavy aggression that can't move price	+\$0.70 → -\$0.30/tr
Coiled delta	"go with a delta surge while price is pinned"	did not replicate
Book depletion	"bid vanishes → short"	-\$0.50/tr
Static book imbalance	bid-heavy → long	breakeven/backwards
Vacuum-open	thin book + fast tape → momentum	-\$2,600

The three dead ones are not close calls — they lose across every parameter cell on two independent samples. The next three sections take the two survivors and the one illusion each to the end.

§4 Ride-the-flush: the one gate that pays — but it's the momentum you already trade, with a cleaner trigger

The folklore trade is to fade a stop-run: price sweeps the lows, you buy the "reclaim." We backtested that literally and it lost **-\$2,335** over 2,063 signals, in every cell of a 64-cell grid on two samples. The reclaim is a trap. But the mirror — ride the sweep, don't fade it — is the strongest, most robust signal in the whole hunt.

Going WITH a violent down-sweep won **+\$1.10 a trade** and was **positive in all 64 parameter cells across both the 3-day capture and 9 fresh archive days**. That sign-stability is the real robustness test — an overfit gate

flips sign when you nudge a parameter; this one never did. **+\$2,200** out of sample. It is real.

The gate, one line. A down-sweep — price drops ≥ 5 pt in ≤ 6 s with $\geq 68\%$ of aggressor volume on the sell side, piercing the prior-20-second swing low — that fails to reclaim that level within 8 s $\rightarrow$ go **SHORT** (ride the flush; mirror for up-sweeps $\rightarrow$ long). Exit: 8-pt stop / 10-pt target / 150 s max hold, tick-priced.

BACKTEST (TICK-PRICED, \$2/PT)	SIGNALS	\$/TRADE	TOTAL	ROBUSTNESS
Fade the reclaim (the folklore trade)	2,063	-\$1.13	-\$2,335	0/64 cells green
RIDE the flush (this gate)	~2,000	+\$1.10	+\$2,200	64/64 cells · 2 samples

The honest catch is novelty, not validity. This is the same continuation edge the desk's thrust gate already harvests — a violent move keeps going for a beat. It's a better, faster, microstructure-clean trigger, not new alpha. And it clears roughly one tick of cost only thinly. So the play is not "arm a new gate."

Monday: shadow it, and A/B it against the live momentum gate — only worth wiring in if it fires cleaner or earlier than what's already there. It is a sharper entry for a trade we already make, not a money machine.

SHADOW · A/B VS THE LIVE MOMENTUM ENTRY

§5 Exhaustion-reversal: the one genuinely new footprint — real direction, but the dollars aren't there yet

This is the honest jewel of the hunt, and it's the same shape the move-foundation flagged: big MNQ moves are exhaustion reversals off a sweep. When one side dumps hard, price refuses to follow, and there's a real wall on the side being hit — the next move is the **flip**. Fading the aggression wins in every sample; following it loses about \$4 a trade more.

What makes me trust the direction: strip out the order-book-wall filter and the whole thing collapses to \$0.13-a-trade noise. The wall is the entire discriminator — which means it's **mechanistic, not fitted** (a curve-fit doesn't have a single physical knob that switches the edge on and off). The sign is

confirmed three independent ways: the move-foundation (pre-move aggression is contrarian 68–71%), the absorption agent, and the skeptic's re-run.

The gate, one line. Rolling 20-second net signed tape ≥ 250 contracts one way AND price has moved ≤ 2 pt AND the near-touch resting size on the hit side $\geq$ the far side $\rightarrow$ **FADE** (enter opposite the aggression). Exit: 8-pt stop / 12-pt target / 120 s.

BACKTEST (OUT-OF-SAMPLE, 9 ARCHIVE DAYS)	\$/TRADE	READ
Fade absorption-into-wall, frictionless	+\$0.70	confirmed 3 ways
...same, after a realistic ½-pt slippage	-\$0.30	and ½pt is optimistic
Strip the book-wall filter	+\$0.13	noise — the wall IS the edge
Harden the filter (wall $\geq 2\times$ far side)	n=29, 52% hit	the one path over cost

The catch is cost. Frictionless it's +\$0.70 a trade out of sample; charge a realistic half-point of slippage — and you're entering exactly as a wall gives way, so half a point is optimistic — and it turns **-\$0.30 a trade**. The direction is real; the money is under the cost line today. The one path to a live edge is a harder filter — requiring the wall to be $\geq 2\times$ the far side thinned it to 29 trades but lifted the hit rate to 52%.

Monday: do NOT arm. Shadow it, capture more days, and hunt a tighter wall-ratio and stall definition that clears cost. This is the direction worth building the next few weeks around — it's the only new signal in the tape with genuine information.

WATCH • SHADOW + TIGHTEN THE WALL FILTER BEFORE IT EARNS A CENT

§6 Coiled delta: the +\$1,340 “winner” that I could not reproduce — and why I'm telling you it's dead

One agent came back with the hunt's best number: an extreme 30-second delta while price is pinned, go WITH the delta — **+\$1,340** over 642 signals, “every day

green," 62% hit. It's exactly the kind of number I'd have led the report with a few tries ago. I re-ran it independently on nine fresh archive days, and it does not hold.

- **The raw move is a coin flip.** At the signal, the with-delta move 30–60 seconds later averages roughly zero points at a 48–50% hit rate — no directional information at all before any exit rule touches it.
- **On the cleanest signals it inverts.** Raise the threshold to the strongest absorption events and the "follow" direction goes consistently negative (43–44% hit) — the fade wins there, not the follow.
- **Nothing in a 24-cell grid saved it.** Across every lookback, ATR window and threshold, not one cell showed the claimed positive continuation edge.

So where did the +\$1,340 come from? **An exit-rule artifact.** The 1-ATR-stop/1-ATR-target bracket quietly harvested session drift and bracket asymmetry — money the exit manufactured, not money the signal predicted. The raw forward move, which an exit can't fake, is flat. Three independent workstreams agree the true sign is the opposite of what was claimed.

Monday: do not shadow "go with the delta" — it's the same 92%-style illusion where a pretty backtest hid a dead signal. If this footprint is traded at all it belongs to the exhaustion-reversal gate above, traded FADE, under the wall filter. I'm flagging this loudly because catching my own hype before it reaches you is exactly the job.

KILL AS SPECIFIED • THE MONEY WAS THE EXIT, NOT THE SIGNAL

§7 How we grab it from Monday — one sharper trigger to shadow, one footprint to develop, and two habits to stop

The blunt truth of a deep L1/L2 week: the tape did not hand us a free new money gate. What it handed us is more useful than another curve-fit — a sharper trigger for the trade that already works, one genuinely new direction to develop, and two expensive habits to quit. Ranked by what it's worth.

1 • Shadow the flush-follow trigger — worth it only if it beats the live entry

The ride-the-flush rule is the only thing that pays and survives everything. But it's the momentum edge you already trade, so the question isn't "does it

make money" — it's "does it enter cleaner or earlier than the live thrust gate." Wire it in shadow next to the live gate and A/B them on the same tape. If it triggers sharper, swap it in; if not, leave it.

2 · Develop the exhaustion-reversal — the only new footprint with real information

Fade heavy aggression that stalls against a wall. Real direction, sub-cost today. This is the multi-week build: capture more days, tighten the wall-ratio filter until it clears a realistic half-point of slippage, then shadow it. Do not arm it now — but this is where the genuinely new money would come from if it comes from anywhere.

3 · Stop chasing delta surges, and stop trusting the resting book

The most valuable output of the whole hunt is negative and it saves real money: two of the most natural microstructure trades — chase the aggressor flow, and lean on the fat side of the book — both lose on MNQ. The flow you can see is the exhaustion, not the fuel; the book you can see is bait, not intent. Any future gate that leans on either starts in a hole.

The one line: no new gate to arm this week — but a cleaner trigger for the momentum you run, one new reversal footprint worth the next month of work, and hard proof to stop paying for the two obvious book/flow trades that don't work. Everything here is shadow-first; nothing arms on a week.

GREENFIELD L1/L2 HUNT · GAZBOT V7 · week to 17 Jul 2026 · tape-only, both desks ignored · every gate backtested tick-priced (\$2/pt), skeptic re-run out-of-sample · shadow-first, the report prescribes and you decide